

## **complaint**

Mr D complains that his motor insurance policy was cancelled in error by BISL Limited and that subsequently he was not covered for the theft of his vehicle.

## **background**

Mr D purchased a policy with BISL on 27 August 2011 and paid the premium monthly, by direct debit. On 3 April 2012, the payment request was returned unpaid and BISL wrote to Mr D informing him it would reapply for it. When it did so, it discovered that the direct debit had been cancelled. It wrote to Mr D again on 12 April 2012 to request payment and said *'if we don't hear from you by 18 May 2012, we will have to cancel your policy'*.

Four days later, BISL sent a *'notice of cancellation'* letter which informed Mr D that the policy would cancel on 25 April 2012, due to non payment. Mr D says he did not receive the second letter and contacted BISL on 4 May 2012 to make the payment. He was advised that the policy had already been cancelled.

Our adjudicator was of the opinion that BISL made an administrative error by sending two letters with two different response dates to Mr D, and was of the view that he was entitled to rely on the first letter sent to him. In her view it should compensate him for that, provide him with evidence that the policy was cancelled in error and refer the theft claim to the insurer.

BISL disagreed with our adjudicator's opinion. In its view, the letter dated 16 April 2012 superseded the letter dated 12 April 2012, and there was no reason to assume it had not been received, so the policy was cancelled correctly. It was also of the view that the theft claim Mr D made subsequently appeared suspicious. However, it said that *if* it had made an error leading to an inappropriate cancellation, it would take responsibility for the theft claim. As there was no agreement, the complaint was passed to me for review.

## **my findings**

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

I agree that BISL made an administrative error by sending two letters with two different response dates to Mr D. Mr D says he did not receive the second letter. In my opinion, from the call he made to BISL on 4 May 2012, it is clear that Mr D genuinely believed that he had until 18 May 2012 to make the payment, and that in his view he had contacted BISL in good time to avoid the cancellation.

I accept that, as the broker, BISL dealt with the administration of the policy only. It has said that if the cancellation was its error, it will satisfy the theft claim. Our usual approach is that where a broker makes an error that leads to a policy not being in place, it should 'stand in the insurer's shoes', which in this case would mean dealing with the theft claim. I consider that BISL should do so in this case, and it has indicated that it is content to deal with it.

## **my final decision**

My final decision is that I uphold this complaint. I require BISL Limited to do the following:

- Deal with the theft claim

- Provide Mr D with a letter for future insurers setting out that the policy was cancelled in error by BISL
- Pay Mr D £100 for distress and inconvenience

Susan Ewins  
**ombudsman**